

style congruent with their ability to perform their professional duties. How do you judge the professionals you patronize? Too many people judge them by display factors. Extra points are given to those who wear expensive clothes, drive luxury automobiles, and live in exclusive neighborhoods. They assume a professional is likely to be mediocre, even incompetent, if he lives in a modest home and drives a three-year-old Ford Crown Victoria. Very, very few people judge the quality of the professionals they use by net worth criteria. Many professionals have told us that they must look successful to convince their customers/clients that they are.

Of course, there are exceptions. But people who spend many years in college, professional school, or graduate school are more likely to have higher levels of household overhead than less educated people. As a rule, doctors have exceptionally high levels of domestic overhead. The concern in many of these households is with consuming, not investing.

Physicians often find that there are disadvantages to living in affluent neighborhoods. People who live in expensive areas are often bombarded with solicitations from “cold-calling” investment experts. Many of these callers assume that people in upscale areas have money to invest. In reality, many people who live in luxury have little money left over after funding their high-consumption lifestyles.

Some naive cold callers purchase prospect lists that fit two criteria. First, prospects must be physicians. Second, they must live in exclusive neighborhoods. It’s no wonder physicians are the favorite targets of some of America’s most aggressive sellers of investment ideas. Too often doctors who receive such solicitations assume that the callers are “just as professional as physicians.” Many physicians have told us that they have had bad experiences with investing via cold callers. In fact, many have been burned so badly that they never again invested in the stock market. This is unfortunate given the overall growth in the real value of the equity market. And, in rejecting the stock market, they figured that left them with more money for spending. This attitude is not as rare as one might think:

*A plastic surgeon added that he had three boats and five cars but hadn’t gotten around to assembling a pension plan. Financial investments? Didn’t have those, either. Speaking of his colleagues, the surgeon said, “I don’t know even one guy who hasn’t been beaten to death in the financial markets. As a*